

36 Capital requirements

5 primary questions | Oldest to newest

2026 objectives: 4.8.2, 4.8.4-4.8.7, 5.1.2

8 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

Click a question below to begin.

CA1-P2 April 2010 Q3	12 marks
CA1-P2 April 2013 Q4	14 marks
CA1-P2 September 2013 Q5	21 marks
CA1-P2 September 2014 Q5	16 marks
CA1-P2 April 2018 Q2	6 marks

CA1-P2 | April 2010 | Q3

Current topic | 12 marks total | Original PDF p2

Related: Ch 3.

- 3**
- (i) State the three pillars used in many regulatory environments. [1]
 - (ii) Explain why a regulator may use a number of different thresholds for assessing the solvency of financial institutions. [3]
 - (iii) Discuss why economic capital can be used when assessing the solvency of financial institutions. [8]
- [Total 12]

CA1-P2 | April 2013 | Q4

Current topic | 14 marks total | Original PDF p2

Related: Ch 3.

- 4**
- (i) List the four principal aims of regulation of financial markets. [2]
 - (ii) Outline why a regulatory solvency regime for insurance companies may have more than one measure of capital requirements. [6]
 - (iii) Outline the advantages of a multinational insurance company using an economic balance sheet to determine its capital requirements. [6]
- [Total 14]

CA1-P2 | September 2013 | Q5

Mixed / scope note | 21 marks total | Original PDF p3

Use the named regime, standard or index as a historical exam context. The report is the answer for that sitting; verify current detail in your 2026 material. Related: Ch 1.

- 5**
- (i) Define the term “solvency”. [1]
 - (ii) State the pillars of the Solvency II requirements. [2]
 - (iii) Describe the features of an insurance company’s business to be considered in a solvency assessment. [8]
 - (iv) Explain why solvency measures may be more significant for an insurance company selling annuity policies than for a building society providing only fixed savings accounts and secured short term loans. [3]
 - (v) List the main stakeholders who are affected by the solvency measure of an annuity provider and suggest how each stakeholder is affected. [7]
- [Total 21]

CA1-P2 | September 2014 | Q5

Current topic | 16 marks total | Original PDF p3

Related: Ch 28.

- 5**
- (i) Outline what is meant by Scenario Analysis, Stress Testing and Stochastic Modelling. [3]
 - (ii) Suggest, with reasons, which risk evaluation method in (i) is most appropriate for each of the following situations:
 - (a) market crash impact
 - (b) individual company capital assessment review
 - (c) valuation of a portfolio including guarantees [3]
 - (iii) Discuss the use of a standard model for determining an insurance company's Solvency Capital Requirements compared with an internal model. Consider this from the perspective of:
 - (a) an insurance company.
 - (b) a regulator. [10]

[Total 16]

CA1-P2 | April 2018 | Q2

[Current topic](#) | [6 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 2** A European insurance company has a North American insurance company subsidiary.

Discuss how the capital requirements of this company may differ from those of a similar European insurance company only operating within its domestic market. [6]